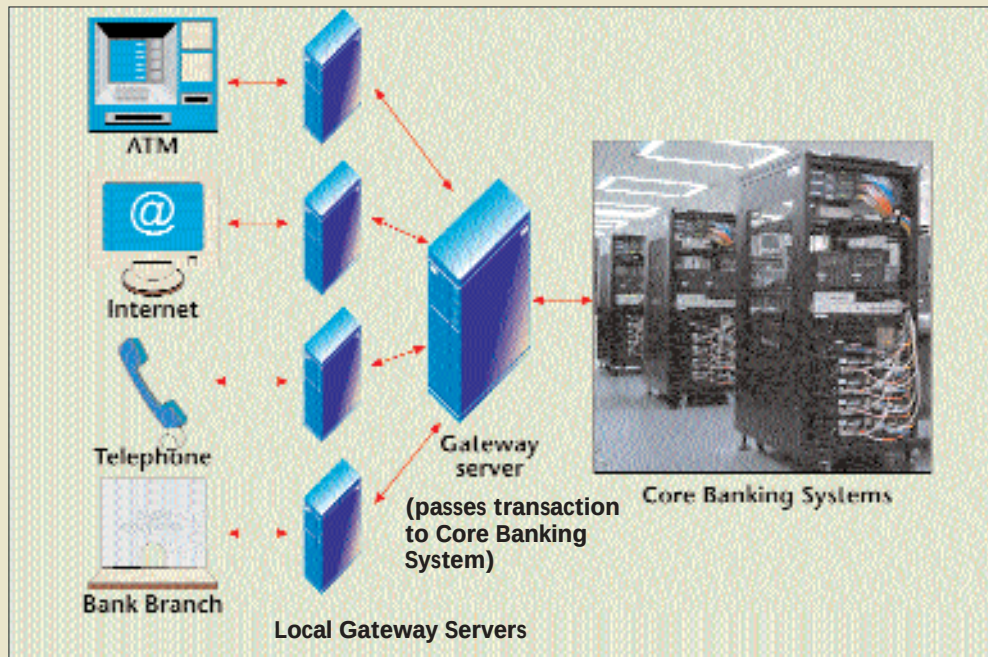


How your buck moves

When you interact through an ATM, there's a two step validation process. First, the ATM validates your card by reading it in, after which the customer authenticates it by entering a Personal Identification Number (PIN). This immediately connects you to the bank's core banking system, after which you can conduct transactions. The ATM communicates with a local gateway through secured links—either a leased line or a satellite communication link—which forwards the request to the central gateway, and from there to the servers that house the core banking system. For Internet banking, you log into the Internet banking site with a username and password. After authentication, the online banking portal securely connects you to the core banking system servers. Phone



banking works the same way, with customers dialling up the bank, entering details through the automated interface, and then either conducting transactions

or talking to a banking official. Irrespective of the mode of interaction, the customer ultimately connects straight to the core banking system.

result of a “mature customer market,” as Chandrasekhar would tell you. Chede regularly uses this—“It lets me monitor the balance in my account,” he says, and points out that at the cost of an SMS, he can be anywhere and yet be checking back with his bank. In fact, phone banking is rapidly becoming a mode of interaction that banks intend to promote; both BoB and HDFC Bank for instance, goes a step further by offering WAP banking.

Mobile phone banking services are network-dependent, though, and work through tie-ups with mobile providers.

Walking in

Ask customers when they last visited the banks they maintain accounts with, and they aren't too sure. Take cash withdrawals, and it's a far cry, as V Chandrasekhar would himself say from the times when encashing a cheque meant spending at least an hour at the bank.

Raghavan says he visited ICICI's bank branch about six-odd months back, to get some account details. “Otherwise,” he quips, “I'd probably go there to see the folks and keep in touch!” There are some transactions where it's inevitable to head for the bank. For

instance, making an international fund transfer is one. It works on a system called the Society for Worldwide Interchange of Fund Transfer (SWIFT), where a bank employee at one end enters the transaction on a machine securely linked to a bank at the other end.

SWIFT merely needs the employee to fill in the debiting and crediting account details, and the transaction is complete. Chandrasekhar points out there's even more automation along the way for banking operations. Bankers are excited about the real time gross settlement (RTGS) that will enable inter-bank fund transfers, traditionally routed through an Reserve Bank of India (RBI) clearing-house, to happen faster.

RBI itself is spearheading the RTGS implementation, and individual banks are implementing it too. This means that the RBI will maintain individual clearing accounts with the participating banks and hence enable faster transactions. As Chandrasekhar puts it, “For the customers, this means quicker inter-bank fund transfers, and for the banks, it's a step towards paperless transactions.”

The future of banking is an interesting study in prediction, yet there are ele-

ments already coming in. From the banker's side, the CTO of a large MNC bank says, “I'd like to see all of our customers using the bank's Internet and phone banking services to pay for anything, be it groceries or school fees—it benefits the customers and us”.

For traditional bankers too, there's a reason to change. Chandrasekhar points out that public sector banks have made huge investments in human resources, and now the front-office banking officer's job is fast changing from a clerical post to that of an investment adviser.

“I'd soon see my workforce advising customers where to invest their money,” he says, “rather than just tell them details of their accounts.” Banking services, as he says, “are seeing an exciting phase of change as we generate more revenues with increased services, and with the tools of modern banking, we can maintain our social obligations and yet offer customers quality services, second to none.”

Indeed, it looks like the customers are on a roll, on this wave of customer-oriented services—as they go laughing all the way to the ATM. ■

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